- **C**omplexity
- **T**axes
- **S**earch

The high-level summary from the FACTS framework is as follows: Create a portfolio that minimizes fees, increases access to your own capital (e.g., liquid investments), is easy to understand (low complexity), minimizes taxes, and minimizes manager search costs. Our goal is to propose a do-it-yourself portfolio solution that optimizes across all five key points.

How Can You Achieve Your Mission?

Many investors are faced with a fundamental problem: What should they do with their money? People usually pursue one of four broad solutions to this problem—each has costs and benefits:

1. Hire an expensive investment advisor that offers a limited value proposition (generally a bad idea, although quite common).
2. Hire an affordable advisor that delivers a strong value proposition (reasonable idea).
3. Hire a cheap robo-advisor that will deliver a generic, but reasonable value proposition (reasonable idea).
4. Do it yourself (reasonable idea).

We think diligent investors can successfully move down the do-it-yourself path when equipped with the tools and knowledge to move forward. There are a few critical areas to get familiar with, but once that's complete, DIY is perfectly viable for many. For those who are not comfortable with the DIY approach, we recommend approach option two or three, depending on personal preferences and circumstances.

"*But I want to be a DIY investor, so what do I do next?*"

- *Easiest solution*: Buy 50 percent BND; 50 percent VT (or your own special weights depending on your risk tolerance, individual circumstances). BND is the Vanguard Total Bond Market ETF, which